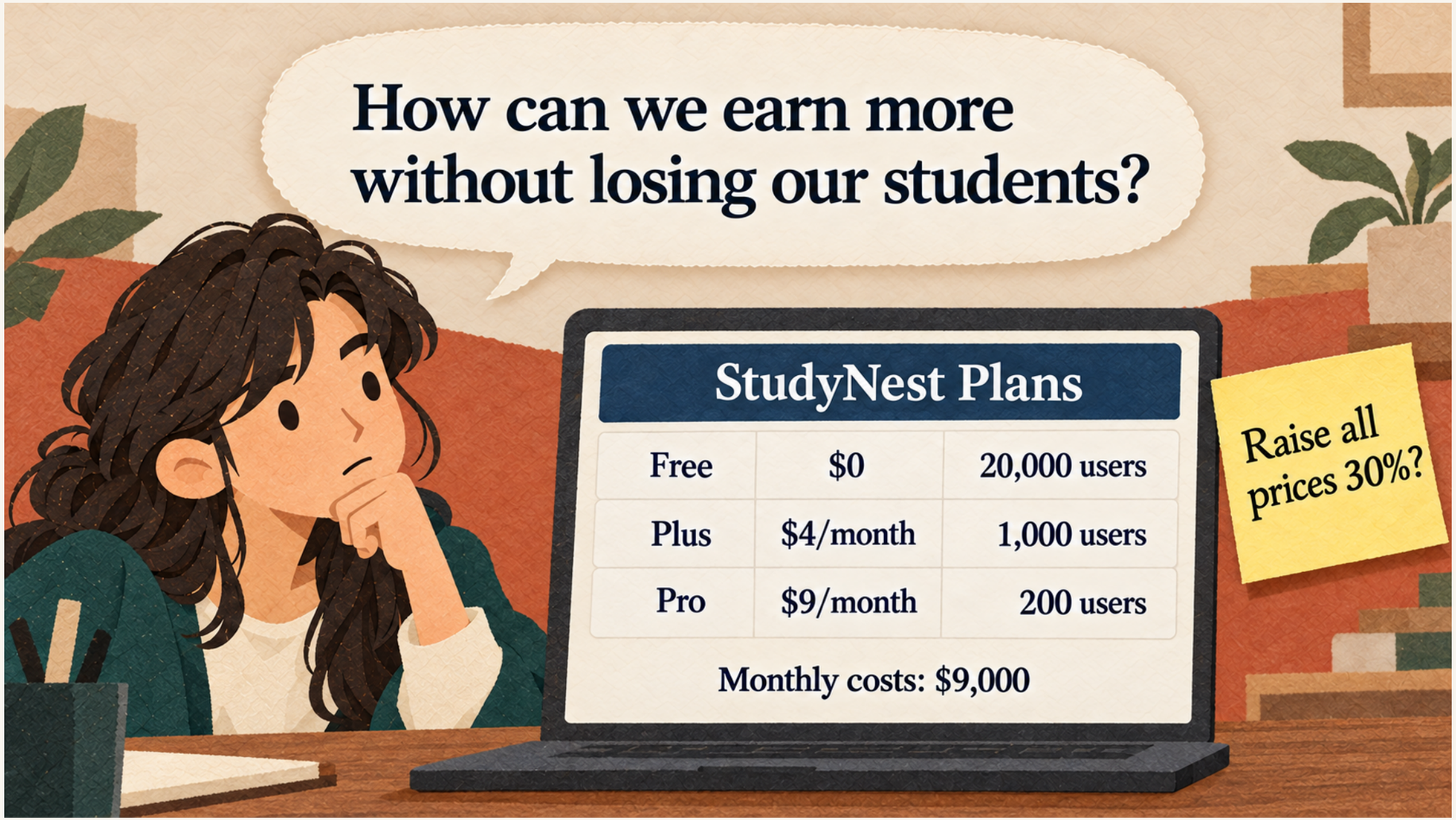
Session 2.3: The Up-Sell and Cross-Sell Strategy



StudyNest: many users, but costs are higher than revenue

StudyNest is a note-taking and study app for university students. Students can use it for free or pay for more storage and study tools. Hana is its founder.

PLAN	WHAT IT GIVES	PRICE / MONTH	USERS
Free	500 MB of notes storage	**$0**	**20,000**
Plus	10 GB storage, exam planner	**$4.00**	**1,000**
Pro	Unlimited storage, exam planner, group study rooms	**$9.00**	**200**

Revenue = 1,000 x $4.00 + 200 x $9.00 = $5,800 a month. Costs = $9,000. StudyNest loses $3,200 a month. A teammate says: "Raise all prices 30%." Hana worries that students will leave.

What is the Up-Sell and Cross-Sell Strategy?

Earn more from customers who already use a product by offering them **more value**, not by charging everyone more for the same thing. **Up-selling** offers a higher, better version of what the customer already uses. **Cross-selling** offers a related product that helps the customer finish the same goal. Both work only when the price matches the value the customer sees and the offer comes at the right moment.

Use it when many customers use a product but few pay, or when a company wants more revenue without simply raising prices for everyone.

Price tier and willingness to pay

Price tier

One level of a product at one price.

Example: StudyNest has Free, Plus, and Pro.

Willingness to pay

The highest price a customer would accept for something they value.

Example: a student who saves 3 hours a week may pay $4.00 a month, but not $15.00.

Up-sell and cross-sell

Up-sell

Offering a higher tier or bigger version of the same product.

Example: a free user who runs out of storage is offered Plus.

Cross-sell

Offering a different but related product.

Example: a Plus user is offered an exam note pack for $6.00.

Two rates that measure the strategy

Conversion rate

(upgrade rate)

The percentage of users who move to a paid tier.

Conversion rate = users who upgraded / users who could upgrade x 100

Example: 1,000 / 20,000 x 100 = 5%.

Attach rate

The percentage of customers who also buy the cross-sold product.

Attach rate = buyers of the add-on / customers who saw the offer x 100

Example: 30 of 200 Pro users buy the exam pack: 30 / 200 x 100 = 15%.

Rule 1: Price by the value the customer sees

Ask what problem each tier solves and how much that is worth to the customer, not only what it costs you.

WHAT IT LOOKS LIKE

Example

The exam planner saves a student about 3 hours a week before exams. That value explains why students pay $4.00 for Plus, even though storage costs StudyNest very little.

WHAT TO AVOID

Common mistake

Raising every price by the same amount because costs went up. Customers do not see more value, so many leave.

Rule 2: Build tiers for different customer groups

Good, better, best: a free tier to try, a middle tier for most paying customers, a top tier for heavy users.

WHAT IT LOOKS LIKE

Example

Free for students who take a few notes, Plus for students preparing for exams, Pro for study groups. The middle tier often sells best because it looks like good value next to the top tier.

WHAT TO AVOID

Common mistake

Tiers that are too similar, so customers cannot see why to pay more, or so many tiers that customers get confused.

Rule 3: Up-sell at the moment of need, and show the extra value

The best time to offer a higher tier is when the customer feels the limit of the current tier.

WHAT IT LOOKS LIKE

Example

When a free user's storage is full: "Your notes are full. Plus gives you 20 times more space and an exam planner for $4.00 a month."

WHAT TO AVOID

Common mistake

Showing upgrade pop-ups to every new user on the first day, before they know whether the app is useful.

Rule 4: Cross-sell what helps the customer finish the same goal

A good cross-sell feels like help, not like an extra sales push.

WHAT IT LOOKS LIKE

Example

In the two weeks before exams, StudyNest offers Plus and Pro users an exam note pack for $6.00. It fits what they are already trying to do.

WHAT TO AVOID

Common mistake

Offering unrelated products, such as phone cases in a study app, or pushing products customers do not need just to hit a sales target.

Dropbox storage plans

What happened

Dropbox gives a free Basic plan with 2 GB of storage. When users fill their space, Dropbox shows them how much more space the paid Plus plan gives.

Why it is good

- The free tier lets people learn the product's value before paying. **(Rule 2)**
- The offer appears exactly when the user feels the limit: the storage is full. **(Rule 3)**
- The paid plan gives clearly more of what the user already values. **(Rule 1)**

Amazon "Frequently bought together"

What happened

On a product page, Amazon shows items that customers often buy with that product, such as a memory card with a camera, and lets the shopper add them in one click.

Why it is good

- The items help the customer use the main product, so the offer feels like help. **(Rule 4)**
- The offer appears while the customer is already deciding to buy. **(Rule 3)**
- The customer can easily ignore it, so it does not damage trust.

BAD EXAMPLE 1

Netflix's 2011 price change

What happened

In July 2011, Netflix split its streaming plus DVD-by-mail plan into two plans. A customer who wanted both now paid $15.98 a month instead of $9.99, a 60% increase. Netflix lost about 800,000 U.S. subscribers in the next quarter, and its CEO later apologized.

Why it is bad

- Customers paid much more for the same service, with no new value. **(Rule 1)**
- It was a price increase for everyone, not an up-sell customers could choose.
- It hit all customers at once, so many left instead of paying more.

BAD EXAMPLE 2

Wells Fargo's cross-selling targets

What happened

In 2016, U.S. regulators found that Wells Fargo employees had opened about 2 million bank and credit card accounts without customers' permission, under pressure to meet high cross-selling targets. The bank paid $185 million in fines.

Why it is bad

- The products helped employees reach targets, not customers reach their goals. **(Rule 4)**
- Customers did not choose the products, so it was not a real cross-sell.
- Lost trust, fines, and lost customers cost far more than the extra sales.

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
Dropbox	**Good**	Up-sell at the moment of need (Rule 3)
Amazon	**Good**	Related items that help the purchase (Rule 4)
Netflix 2011	**Bad**	Higher price, no new value (Rule 1)
Wells Fargo	**Bad**	Products for sales targets, not customers (Rule 4)

Customers pay more when they get more value they chose, at the moment they need it.

Tool 1: Revenue after a price change

When prices rise, some customers may leave. Count only the customers who stay.

USED IN EXERCISE 3

Formula

Revenue = customers who stay x new price

WHAT IT LOOKS LIKE

Example: a gym

- 100 members x $20.00 = $2,000 a month.
- Price rises to $25.00 and 20 members leave.
- 80 x $25.00 = $2,000: no extra money, and fewer members.

Tool 2: Revenue from up-selling and cross-selling

USED IN EXERCISES 2 AND 3

Two formulas

- Up-sell: users who upgrade x price of the new tier
- Cross-sell: customers who see the offer x attach rate x price of the add-on

WHAT IT LOOKS LIKE

Example: a music app

- 5,000 free users; 3% upgrade to a $6.00 plan: 150 x $6.00 = $900 a month.
- 1,000 paying users; 10% buy a $3.00 playlist pack: 100 x $3.00 = $300.

Tool 3: Trade-off and decision rule (from Session 2.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Example: "If fewer than 2% of free users upgrade in 60 days, we will change the offer."

Up-sell, cross-sell, or neither? BrewBox

BrewBox is a campus coffee kiosk with an ordering app. Six possible actions:

- (a) Offer a large size for $0.80 more when a student orders a medium coffee.
- (b) Suggest a muffin with a morning coffee.
- (c) Raise the price of every drink by $0.50.
- (d) Offer a monthly coffee pass instead of single cups.
- (e) Sell phone cases at the counter.
- (f) Sell a reusable cup that gives $0.30 off every refill.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Action [letter]: [up-sell / cross-sell / neither], because [what the customer gets, and whether it is a higher version of the same product, a related product, or neither].

WORKED EXAMPLE: CAMPUS BOOKSTORE

Action: offer a hardcover edition for $8 more to a student buying the paperback.
Up-sell, because it is a better version of the same book.
Action: suggest a highlighter set to a student buying a textbook.
Cross-sell, because it is a related product that helps the student study the book.

Up-sell, cross-sell, or neither

ACTION	ANSWER	WHY
(a) Large size	Up-sell	A bigger version of the same drink
(b) Muffin	Cross-sell	A related product for the same moment
(c) +$0.50 on all drinks	Neither	A price increase: no extra value or choice
(d) Monthly pass	Up-sell	A higher plan that gives more coffee
(e) Phone cases	Neither	Does not help the coffee customer's goal (Rule 4)
(f) Reusable cup	Cross-sell	Related, and gives value back on every refill

EXERCISE 2 / MEDIUM / 30 MIN

Design an up-sell offer: LingoLeap

Scenario

A language-learning app: **10,000 free users** and **400 Premium users** at **$8.00 a month**.

Free users can take 5 lessons per day. Each week, **2,000 free users** reach the 5-lesson limit.

Your steps

- **Step 1:** Conversion rate = 400 / 10,000 x 100 = _____ %. Premium revenue = 400 x $8.00 = $_____.
- **Step 2:** Design the offer with Rules 1 and 3, using the template on the next slide.

Use the template

TEMPLATE

Who: [which users see the offer]
When: [the moment of need that triggers the offer]
Message: [the extra value, in one sentence, and the price]
Measure: [one number we compare between a test group and a comparison group, and our target]
Money: If [number] users upgrade, extra revenue = [number] x $[price] = $[amount] per month.

WORKED EXAMPLE: PHOTO APP ($3.00 PREMIUM)

Who: free users who have stored 100 photos.
When: the moment they try to save photo number 101.
Message: "Keep every memory: Premium stores unlimited photos for $3.00 a month."
Measure: upgrade rate of users who see this message vs. users who see the old message; target 6%.
Money: If 300 users upgrade, extra revenue = 300 x $3.00 = $900 per month.

Conversion is 4%; Premium earns $3,200 a month

- **Who:** the 2,000 free users who hit the 5-lesson limit each week.
- **When:** right after they finish lesson 5.
- **Message:** names the extra value (for example, unlimited lessons) and the price, $8.00 a month.
- **Measure:** one number with a target, compared with a comparison group.
- **Money:** if 10% of the 2,000 upgrade, 200 x $8.00 = $1,600 more per month.

Choose a revenue plan for StudyNest

Revenue $5,800 / costs $9,000 / 20,000 Free, 1,000 Plus ($4.00), 200 Pro ($9.00)

OPTION A

Option A: Raise all prices by 30%

Plus becomes **$5.20**; Pro becomes **$11.70**.

In a survey, **25% of paying users** said they would cancel if prices rose.

OPTION B

Option B: Up-sell and cross-sell

Show the Plus offer when a free user's storage is full; expect **2%** of free users to upgrade.

In exam season, offer all paying users an exam pack for **$6.00**; expect an attach rate of **20%**.

Calculate before you decide (Tools 1 and 2)

- Option A, nobody leaves: 1,000 x $5.20 + 200 x $11.70 = $_____
- Option A, 25% leave: Plus users = 1,000 x 75% = ____; Pro users = 200 x 75% = ____; revenue = Plus x $5.20 + Pro x $11.70 = $_____
- Option B up-sell: new Plus users = 20,000 x 2% = ____; extra revenue = new Plus users x $4.00 = $_____
- Option B cross-sell: paying users = 1,000 + 200 + new Plus users = ____; buyers = paying users x 20% = ____; extra = buyers x $6.00 = $_____
- Option B total in exam season = $5,800 + up-sell + cross-sell = $_____

Write a 3-bullet memo to the CEO (Tool 3)

TEMPLATE

To: [CEO name], [company]
1. Decision and evidence: We should choose [option] because [the rule it follows] and [one number from your calculation].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next 60 days we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

FitClub: raise the fee, or sell a training add-on?

To: Leo Kim, CEO, FitClub

1. Decision and evidence: We should sell a $15 personal-training add-on instead of raising every fee, because it matches what members want (Rule 4) and 10% of 1,500 members buying it adds 150 x $15 = $2,250 a month.

2. Biggest risk and trade-off: The weakest point is that members may not buy the add-on after the first month. We give up a fast, certain fee increase to keep members who would leave over a higher price.

3. Next step and decision rule: In the next 60 days we will offer the add-on to half of our members and measure the attach rate. We will change this decision if fewer than 5% of them buy it.

Raising all prices earns less; up-sell and cross-sell covers costs

The numbers

- Option A: $7,540 if nobody leaves. If 25% leave: 750 x $5.20 + 150 x $11.70 = **$5,655**, less than today's $5,800.
- Option B: 400 new Plus users x $4.00 = $1,600. 1,600 paying users x 20% = 320 buyers x $6.00 = $1,920.
- Option B total: $5,800 + $1,600 + $1,920 = **$9,320**, above the $9,000 costs in exam season.

A strong memo

- Usually chooses Option B.
- Uses at least one number from Step 1.
- Names a real risk: 2% is only an estimate, and pack sales come mainly in exam season.
- States a clear decision rule.

SUCCESS CHECK

Can you do these three things?

01

Explain the difference between an up-sell, a cross-sell, and a simple price increase.

02

Design an up-sell offer with a moment of need and a measurable target.

03

Calculate whether up-selling and cross-selling earn more than raising all prices.

REFERENCES

Dropbox. Dropbox plans (dropbox.com/plans).

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Consumer Financial Protection Bureau (2016). CFPB fines Wells Fargo $100 million for widespread illegal practice of secretly opening unauthorized accounts.